

ECONOMY — National Income Accounting

Batch 2 of 10 · Sources: Parmar Ch.3 (full) + Lucent §1 "Highlights of Indian Economy" (full) + §5 "National Income" (full) · Complete source coverage · ★ = tested in a real past SSC paper · PYQ bucket "02 National Income" (20 Qs)

1 Concept, Founders & Circular Flow

National Income = total value of all goods/services produced by a country's residents in a year — a "Macroeconomic" concept. First proposed by **Dadabhai Naoroji**. **P.C. Mahalanobis** headed the **National Income Committee (1949)**. **V.K.R.V. Rao** used a scientific approach to calculate National Income; he also gave the two-sector economy classification.

HOOK Circular Flow of Income — continuous movement of goods, services, resources and money in an economy. Households own land/labour/capital, provide these to firms for income (wages/rent/profits); firms use resources to produce goods/services, sell to households; households spend on goods/services (expenditure); firms pay households for resources (income) — a continuous cycle. Upper arrows: Goods & Services (Product Method), Consumer Expenditure (Expenditure Method); lower arrows: Wages/Rent/Dividends, Factor for Production (Income Method).

Real Flow	Money Flow
Movement of goods, services and factors of production (land, labour, capital, entrepreneurship) between households and firms	Movement of money (payments) between households and firms in exchange for goods/services/factors
Factors of Production	Factors of Payment
Land	Rent
Labour	Wages
Capital	Interest
Entrepreneurs	Profit

HOOK Law of Variable Proportions — increasing one factor of production (e.g. labour) while others stay fixed: total output first rises at an increasing rate, then rises at a decreasing rate, then declines (TP/AP/MP curves; Stage I, II, III; Point of Inflexion).

Model	Composition
Two-Sector Model	Households and Firms (simplest model)
Three-Sector Model	Households, Firms, Government
Four-Sector Model (Open Economy)	Households, Firms, Government, Foreign Trade

TRAP Injections (money entering the economy, ↑ spending/income): Investment (capital-goods spending), Government Spending (infra/education/defence), Exports (foreign buyers' money entering). **Leakages** (money exiting the circular flow): Savings (households not spending), Taxes, Imports (money spent on foreign goods) ★. When households **save** instead of spending, that's a **leakage** ★ — reduces total demand, must be balanced by investment.

2 Three Methods to Calculate National Income

1. Value Added / Production / Output Method

Calculates the value of a product/service at each stage of production. **Value Added Method = Output – Input.**

	Cotton	Yarn	Cloth	Shirt
Value of output	₹100	₹200	₹400	₹800
Value added	₹100	₹100	₹200	₹400

Gross Value Added (GVA) = value producers add to goods/services they buy and sell. $GVA = GVA_1 + GVA_2 + GVA_3 + \dots + GVA_N$. The National Statistics Office (printed "CSO") adopted GVA in **2015**.

2. Income Method

Includes all income generated by factors of production that are inputs to producing final goods/services, economy-wide. Components:

- **Compensation to Employees** — total wages/salaries paid to workers.
- **Operating Surplus** — profit earned by businesses (profit, rent, interest) after deducting employee compensation.
- **Mixed Income** — income of self-employed individuals/unincorporated businesses, where labour and capital income elements can't be distinctly separated. Eg: a doctor running their own clinic.

3. Expenditure Method ★

Sums all spending on goods/services in the economy — the most common GDP-calculation method.

Expenditure Method = $C + G + I + (X - M)$ ★ (C=Consumption, G=Government Expenditure, I=Investment, X=Export, M=Import).

HOOK **Orange Economy** — the part of the economy based on creativity, culture and intellectual property; ideas/talent/cultural expression converted into economic value/jobs. Examples: Film industry, Music industry, Fashion design.

3 Final vs Intermediate Goods; Economic Problems; Inventory

Final Goods	Intermediate Goods ★
Will not undergo any further economic process; used by the consumer for personal consumption or investment; direct consumption/capital investment. Eg: buying tea from a shop for personal use ★	Semi-finished products that undergo further economic process/transformation; used as inputs to produce other goods, get customised in the process; further processing or resale. Eg: copper for utensils ★, a tea shop buying tea to prepare and sell to customers ★

HOOK Why only **final goods** count in GDP ★: avoids **double counting**, since intermediate-good value is already embedded in the final good's price. **Capital goods** (durable, e.g. machines) assist production without being transformed into the product itself — a PQ pairs Statement I (intermediate goods = inputs) TRUE with Statement II (capital goods = durable, not transformed) also TRUE ★.

Every economy faces 3 fundamental problems from scarcity: **What to Produce? How to Produce? For Whom to Produce?** "What to Produce" = deciding which goods/services to produce and in what quantity, given limited resources must be allocated between different goods types.

Consumer Goods	Capital Goods
Finished goods used directly by individuals for personal consumption, not used to produce other goods. Eg: clothes, food, smartphones	Goods used by businesses to produce other goods/services; help production, not consumed immediately. Eg: machines to produce T-shirts, factory equipment, tools

Inventory = items a business keeps in stock for sale/production (raw materials, work-in-progress, finished goods). If sales increase, inventory *decumulates*; if sales decrease, inventory *accumulates* — can be planned or unplanned.

Aids/Auxiliaries to Trade = factors essential for bringing goods from production to consumption — essential services/functions assisting business. Eg: transportation, communication, banking, insurance, warehousing, advertising.

Stock	Flow
Static in nature; measured at a point in time. Eg: wealth, loan, inventory, capital, money supply	Dynamic in nature; measured over a period of time. Eg: income, expenditure, change in inventory, depreciation

4 Depreciation & the GVA/GDP/GNP/NDP/NNP Ladder

HOOK **Depreciation** ★ = wear-and-tear loss in value of fixed assets (machinery/equipment/buildings) during production; also called **Replacement Investment** ★ (investment needed just to maintain existing capital stock, equal to depreciation). **Net Investment = Gross Investment – Depreciation** ★ (e.g. ₹50 lakh machinery, ₹5 lakh depreciation → ₹45 lakh net investment ★).

Aggregate	Definition / Formula
GDP ★	Total value of all final goods/services produced <i>within a country's territory</i> in a financial year (1 April–31 March). Second-hand goods are never counted. Only final-goods value counted, to avoid double counting. Developed by Russian-American economist Simon Kuznets in 1934 .
GNP ★	Total value of final goods/services produced by a country's nationals . $GNP = GDP - \text{Factor Income to Abroad} + \text{Factor Income from Abroad}$, i.e. $GNP = GDP + NFIA$ ★ (Net Factor Income from Abroad).
NDP	Country's economic output after adjusting for depreciation of fixed capital. $NDP = GDP - \text{Depreciation}$.
NNP ★	Monetary value of finished goods/services produced by a country's citizens in a given period. $NNP = GNP - \text{Depreciation}$ ★ — the difference between GNP and NNP is depreciation ★.

Market Price (MP)	Factor Cost (FC)
Final value of the product sold, includes indirect taxes	Cost of factors of production / total value of inputs, indirect tax NOT included

$FC = MP - \text{Indirect Tax} + \text{Subsidy}$, equivalently **$FC = MP - (\text{Indirect Tax} - \text{Subsidy}) = MP - \text{Net Indirect Tax}$** . **Basic Price = FC + Net Production Tax** (Net Production Tax = Production Tax – Subsidy).

DOUBT **REMEMBER** (as printed): Product taxes are levied per unit of goods/services sold (e.g. GST, excise duty, sales tax); production taxes are paid regardless of output volume (land taxes, stamp duties, licence fees). Production taxes are independent of production quantity; product taxes depend on sales volume.

HOOK "To Summarise" mnemonic (as printed, Hindi): (1) Gross से Net में जाना हो तो Depreciation subtract करो — going Gross→Net, subtract Depreciation. (2) Domestic से National में जाना हो तो NFIA add करो — going Domestic→National, add NFIA. (3) MP से FC में जाना हो तो Net Indirect Tax को subtract करो — going MP→FC, subtract Net Indirect Tax.

Calculation of income: Nation's Territory → GDP; Nation's People → GNP; Total Income = Total Expenditure = Total value of goods and services.

Factor Cost — trap

TRAP **Factor Cost** ★ = payment to factors of production only (rent, wages, interest, profit) — **excludes** production/product taxes and does NOT subtract subsidy either; it reflects only the actual cost of production.

GDP and Welfare

DOUBT GDP does not measure welfare/standard of living ★. Limitations, in full: (1) **Ignores Income Distribution** — high GDP can coexist with widespread poverty since distribution isn't shown; (2) **Excludes Non-Market Activities** — household work, voluntary service, caregiving aren't counted since not sold in a market; (3) **Ignores Environmental Damage** — pollution-causing production raises GDP but can lower quality of life; (4) **Excludes Quality-of-Life Factors** — health, education, leisure, safety, happiness aren't counted; (5) **Underground Economy Not Included** — informal/black-market activity generally uncounted. A tested Assertion-Reason confirms both A (GDP doesn't tell the whole story) and R (ignores wear-and-tear/pollution/distribution) **TRUE** ★.

5 India's GDP Sector Contribution & Real vs Nominal GDP

HOOK **Services sector** contributes most to India's GDP today (>54%) ★, though **Agriculture** provides the highest employment. In **1950-51**, Industry's GDP share was ~12-13%, Agriculture ~53-59%, Services ~27-30% ★ — India was agriculture-based at Independence.

Real GDP	Nominal GDP
Base year taken as reference; calculated on constant prices; inflation-adjusted	More than Real GDP due to inflation; calculated on current prices; inflation NOT adjusted

GDP Deflator = $(\text{Nominal GDP} / \text{Real GDP}) \times 100$ — also called **Implicit Price Deflator** and **Price Index**. GDP of India is calculated by the **National Statistical Office (NSO)**, **MoSPI**. Base year (per Parmar): **2022-23**.

Per Capita Income = National Income / Population. **Purchasing Power Parity (PPP)** — amount of goods/services purchasable with a specific sum of money; also called "a common basket of goods." As of 2026 (per Parmar): India's GDP ranked **5th in the world** (nominal); India's economy ranked **3rd in the world by PPP**, after USA and China (whose economies are considered "inflated" in nominal terms).

Personal Income = total individual income from all sources *before* taxes. **Ranking of GDP (Nominal), per Parmar**: 1. USA, 2. China, 3. Germany, 4. Japan, 5. India. $\text{PI} = \text{NI} + \text{Income received but not earned} - \text{Income earned but not received}$; equivalently $\text{PI} = \text{NI} + \text{Govt. transfers} + \text{Net interest paid by Govt.} - \text{Corporate tax} - \text{payment for social security}$; equivalently $\text{PI} = \text{NI} + \text{Transfer Payment} - \text{Undistributed corporate profit}$ (Transfer payment examples: government subsidies, scholarship, pension).

Personal Disposable Income (PDI) ★ = money a person has after paying taxes/mandatory withholdings. $\text{PDI} = \text{Personal Income} - \text{Tax}$ ★ — belongs to the **household** sector ★.

Potential GDP = total output an economy would produce with resources fully utilised. **Green GDP** = **GDP – Environmental Damage**. **Potential GDP – Real GDP = Recessionary Gap**. **Gross Domestic Capital Formation** = total investment within a country in a period, to create/increase physical assets. Eg: factory building, new machinery.

6 Multiplier & Autonomous Investment

HOOK **Investment Multiplier** ★: a rise in autonomous investment causes a *multiplied* rise in national income, because $\text{MPS} < 1$ (people don't save their entire income, so extra spending recirculates) ★ — $\text{Multiplier} = 1/(1-\text{MPC}) = 1/\text{MPS}$. An Assertion-Reason PYQ confirms both statements TRUE and R correctly explains A.

7 Lucent §1 — Highlights of Indian Economy (full data, FY2024-25 releases)

DOUBT Everything in this section is time-sensitive (FY2024-25 data releases dated 28 Feb 2025 and 30 May 2025) and will be superseded by later releases — included here in full for source completeness, not as current data to rely on for a live exam.

Per NSO/MoSPI's 28 Feb 2025 press note: Second Advance Estimates (SAE) of National Income 2024-25; Quarterly Estimates (QE) of GDP for Q3 (Oct-Dec) 2024-25; and First Revised/Final Estimates of GDP, National Income, Consumption Expenditure, Saving and Capital Formation for 2023-24 & 2022-23 respectively. Estimates released at Constant (2011-12) and Current Prices.

Key Highlights (SAE, 28 Feb 2025): Real GDP estimated to grow **6.5%** in FY2024-25; Nominal GDP growth **9.9%** (both revised upward from First Advance Estimates). First Revised Estimates: Real GDP grew **9.2%** in FY2023-24 — highest in the previous 12 years except FY2021-22 (post-Covid year) — driven by double-digit growth in Manufacturing (12.3%), Construction (10.4%), Financial/Real-Estate/Professional Services (10.3%). Final Estimates: Real GDP grew **7.6%** in FY2022-23, driven by Trade/Hotels/Transport/Communication/Broadcasting (12.3%), Financial/Real-Estate/Professional Services (10.8%), Electricity/Gas/Water/Utilities (10.8%). Q3 FY2024-25: Real GDP growth **6.2%**, Nominal GDP growth **9.9%**. Q2 FY2024-25 Real GDP growth revised upward to **5.6%**. 2024-25 sector growth: Construction 8.6%, Financial/Real-Estate/Professional Services 7.2%, Trade/Hotels/Transport/Communication/Broadcasting 6.4%. PFCE expected to grow 7.6% in 2024-25 vs 5.6% in 2023-24.

Annual Estimates	2023-24 (FRE)	2024-25 (est.)
Real GDP (constant prices)	₹176.51 lakh crore	₹187.95 lakh crore (6.5% growth vs 9.2%)
Nominal GDP (current prices)	₹301.23 lakh crore	₹331.03 lakh crore (9.9% growth)
Real GVA	₹161.51 lakh crore	₹171.80 lakh crore (6.4% growth vs 8.6%)
Nominal GVA	₹274.13 lakh crore	₹300.15 lakh crore (9.5% growth)

Quarterly (Q3 FY)	2023-24	2024-25
Real GDP	₹44.44 lakh crore	₹47.17 lakh crore (6.2% growth)
Nominal GDP	₹77.10 lakh crore	₹84.74 lakh crore (9.9% growth)
Real GVA	₹40.60 lakh crore	₹43.13 lakh crore (6.2% growth)
Nominal GVA	₹69.90 lakh crore	₹77.06 lakh crore (10.2% growth)

Source: NSO MoSPI Report Q3, 28.02.2025.

"Industrial growth pushes up Q4 GDP to 7.4%" (30 May 2025 release)

Real GDP picked up to a four-quarter high of **7.4%** in Jan-Mar 2025 (industrial growth in manufacturing/construction/mining, even as consumption demand slowed). Full-year FY2024-25 growth estimated at a four-year low of **6.5%** — same as the Feb-end SAE. GDP had grown 8.4% in Q4 FY2023-24 and 9.2% in FY24 overall. Q3 growth revised up to 6.4% (from 6.2% earlier). Industrial growth: 6.8% in Q4 FY25 (up from 5.1% in Q3, but slower than 10.2% in Q4 FY24). Manufacturing growth rose to a three-quarter high of **4.8%** in Jan-Mar (vs 11.3% a year ago); construction grew a double-digit **10.8%** (vs 8.7% a year ago). GVA growth (6.8% in Jan-Mar) came in lower than GDP, due to a sharp jump in net taxes (12.7% in Q4 vs 5% in the previous quarter and 18.7% a year ago) — GDP = GVA + net product taxes. Full-year FY25 GVA growth: 6.4% (vs 8.6% in FY24). Mining grew 2.5% in Q4 (vs 13% in Q3, 0.8% in Q4 FY24). Agriculture grew 5.4% in Q4 (slower than 6.6% prior quarter, but well above 0.9% in Q4 FY24). Services grew 7.3% in Q4 (7.4% prior quarter, 7.8% in Q4 FY24). PFCE growth slowed to a five-quarter low of 6.0% in Q4 (vs 8.1% prior quarter) — demand tempering at higher income levels.

"Critical Analysis" box — how national income is measured

MoSPI released two interrelated datasets on 30 May 2025: Q4 FY25 growth estimate, and provisional full-year FY25 estimates. Economic growth is measured using two metrics: **GDP** (adds up all expenditures — by individuals, governments, private businesses — demand-side view) and **GVA** (supply-side view — sums value added/income at each production stage across sectors). **GDP = GVA + (taxes earned by government) – (subsidies provided by government)**.

Why "provisional"? Estimates get revised over several years. Sequence: **First Advance Estimates (FAE)** in January → **Second Advance Estimates (SAE)** at end-February (incorporating Q3 data) → **Provisional Estimates (PE)** by May-end (incorporating Q4 data) → **First Revised Estimates** a year later → **Final Estimates** two years later. For FY25, these arrive in 2026 and 2027 respectively.

Four key takeaways (30 May 2025 data):

- 1. **Nominal GDP:** grew to ₹330.7 trillion (lakh crore) by end-March 2025, +9.8% over FY24. In USD terms (÷85.559 exchange rate) = **\$3.87 trillion**. This 9.8% was the third-slowest nominal growth since the current government took charge (2014) and the sixth-slowest since India's 1991 liberalisation. CAGR since 2014-15 = 10.3%; CAGR since the NDA's 2nd-term start (2019) = 9.8%.
- 2. **Real GDP:** grew 6.5% in FY25 to ₹188 trillion — deceleration from FY24's 9.2% is starker than the nominal-GDP deceleration (gap reflects inflation's effect). Real-GDP CAGR is just above 5% since 2019, just above 6% since 2014 — India's growth momentum has slowed over the decade.
- 3. **GVA & sectoral health:** real GVA across Agriculture/allied, Industry (manufacturing, construction, etc.) and Services grew 6.4% in FY25 (vs 8.6% in FY24) — no sector has grown at a CAGR near 6% since 2019-20.
- 4. **Manufacturing vs Agriculture:** since 2019-20, manufacturing GVA's CAGR (4.04%) has been *slower* than agriculture and allied activities' (4.72%) — partly explains high urban/youth unemployment and labour moving back to villages/agriculture.

Sources: NSO MoSPI Report Q3 28.02.2025; Indian Express, 31 May 2025.

8 Lucent §5 — National Income (full tables)

National income = measurement of the flow of services and goods in the economic system. **National Wealth vs National Income:** national wealth = present assets available at a given time; national income = production power of the economic system over a given period. **NNP at Factor Cost = NNP at Market Prices – Indirect Taxes + Subsidies = GNP at Market Prices – Indirect Taxes + Subsidies = National Income.** A one-year base is taken for calculating national income (all seasons occur within a year). Estimation data issued by the Central Statistical Organisation (printed "CSO").

Second Advance Estimates of Annual GDP, FY2024-25 — at 2011-12 (Constant) Prices, ₹ crore

#	Item	2022-23 (FE)	2023-24 (FRE)	2024-25 (SAE)	%Δ 23-24	%Δ 24-25
1	GVA at Basic Prices	1,48,78,028	1,61,51,477	1,71,79,842	8.6	6.4
2	Net Taxes on Products	12,86,885	14,99,114	16,15,253	16.5	7.7
3	Gross Domestic Product (GDP)	1,61,64,913	1,76,50,591	1,87,95,095	9.2	6.5
4	Net Domestic Product (NDP)	1,40,76,950	1,54,21,624	1,64,24,210	9.6	6.5
<i>Expenditure Components</i>						
5	Private Final Consumption Expenditure (PFCE)	93,84,943	99,06,774	1,06,61,785	5.6	7.6
6	Government Final Consumption Expenditure (GFCE)	15,43,991	16,69,675	17,32,611	8.1	3.8
7	Gross Fixed Capital Formation (GFCF)	54,37,725	59,15,288	62,78,171	8.8	6.1
8	Changes in Stocks (CIS)	1,99,177	3,05,610	3,18,839	53.4	4.3
9	Valuables	2,35,146	2,69,106	2,71,782	14.4	1.0
10	Exports	37,43,310	38,25,494	40,97,742	2.2	7.1
11	Imports	38,59,869	43,90,614	43,41,194	13.8	-1.1
12	Discrepancies	-5,19,510	1,49,257	-2,24,641	0.8	-1.2
13	GDP	1,61,64,913	1,76,50,591	1,87,95,095	9.2	6.5
<i>Share in GDP (%)</i>						
14	PFCE	58.1	56.1	56.7		
15	GFCE	9.6	9.5	9.2		
16	GFCF	33.6	33.5	33.4		
17	CIS	1.2	1.7	1.7		
18	Valuables	1.5	1.5	1.4		
19	Exports	23.2	21.7	21.8		
20	Imports	23.9	24.9	23.1		
21	Discrepancies	-3.2	0.8	-1.2		
22	GDP	100.0	100.0	100.0		
<i>National Product</i>						
23	Gross National Income (GNI)	1,59,39,376	1,74,04,638	1,85,21,328	9.2	6.4
24	Net National Income (NNI)	1,38,51,412	1,51,75,671	1,61,50,443	9.6	6.4
<i>Per Capita Income, National Product & Final Consumption</i>						
25	Population (million)	1,383	1,395	1,408		
26	Per Capita GDP (₹)	1,16,892	1,26,528	1,33,488	8.2	5.5
27	Per Capita GNI (₹)	1,15,261	1,24,764	1,31,544	8.2	5.4
28	Per Capita NNI (₹)	1,00,163	1,08,786	1,14,705	8.6	5.4
29	Per Capita PFCE (₹)	67,865	71,016	75,723	4.6	6.6

GDP (Production/Income Approach) = GVA at Basic Price + Net Taxes on Products. Expenditure Approach: GDP = PFCE + GFCE + GFCF + CIS + Valuables + Export – Import. Discrepancy = gap between Production/Income-approach GDP and Expenditure-approach GDP (its own row shows % share, not % change). *Source: NSO MoSPI Report Q3, 28.02.2025.*

Second Advance Estimates of Annual GDP, FY2024-25 — at Current Prices, ₹ crore

#	Item	2022-23 (FE)	2023-24 (FRE)	2024-25 (SAE)	%Δ 23- 24	%Δ 24- 25
1	GVA at Basic Prices	2,46,46,698	2,74,12,888	3,00,14,893	11.2	9.5
2	Net Taxes on Products	22,43,775	27,10,068	30,88,322	20.8	14.0
3	GDP	2,68,90,473	3,01,22,956	3,31,03,215	12.0	9.9
4	NDP	2,37,61,232	2,67,62,544	2,94,23,836	12.6	9.9
<i>Expenditure Components</i>						
5	PFCE	1,65,27,862	1,81,30,431	2,03,54,192	9.7	12.3
6	GFCE	27,57,628	31,04,298	33,58,066	12.6	8.2
7	GFCF	83,96,038	91,65,224	98,01,025	9.2	6.9
8	CIS	2,99,851	4,59,571	4,97,703	53.3	8.3
9	Valuables	3,44,489	4,24,919	4,96,532	23.3	16.9
10	Exports	62,52,449	64,60,982	70,10,639	3.3	8.5
11	Imports	72,13,027	70,92,192	77,76,928	-1.7	9.7
12	Discrepancies	-4,74,817	-5,30,277	-6,38,014	-1.8	-1.9
13	GDP	2,68,90,473	3,01,22,956	3,31,03,215	12.0	9.9
<i>Share in GDP (%)</i>						
14	PFCE	61.5	60.2	61.5		
15	GFCE	10.3	10.3	10.1		
16	GFCF	31.2	30.4	29.6		
17	CIS	1.1	1.5	1.5		
18	Valuables	1.3	1.4	1.5		
19	Exports	23.3	21.4	21.2		
20	Imports	26.8	23.5	23.5		
21	Discrepancies	-1.8	-1.8	-1.9		
22	GDP	100.0	100.0	100.0		
<i>National Product</i>						
23	Gross National Income (GNI)	2,65,20,166	2,97,10,786	3,26,24,918	12.0	9.8
24	Net National Income (NNI)	2,33,90,925	2,63,50,374	2,89,85,539	12.7	9.8
25	Gross National Disposable Income (GNDI)	2,73,39,378	3,05,94,001	3,35,83,538	11.9	9.8
26	Net National Disposable Income (NNDI)	2,42,10,137	2,72,33,589	2,99,04,160	12.5	9.8
<i>Per Capita Income, National Product & Final Consumption</i>						
27	Per Capita GDP (₹)	1,94,451	2,15,935	2,35,108	11.0	8.9
28	Per Capita GNI (₹)	1,91,773	2,12,981	2,31,711	11.1	8.8
29	Per Capita NNI (₹)	1,69,145	1,88,892	2,05,579	11.7	8.8
30	Per Capita GNDI (₹)	1,97,697	2,19,312	2,38,519	10.9	8.8
31	Per Capita PFCE (₹)	1,19,516	1,29,967	1,44,561	8.7	11.2

Formulae (Lucent, in full)

1. GVA at basic prices (Production Approach) = Output at basic price – Intermediate Consumption
2. GVA at basic prices (Income Approach) = CE + OS/MI + CFC + Production taxes less Production subsidies
3. GDP = ΣGVA at basic prices + Product taxes less Product subsidies
4. NDP/NNI = GDP/GNI – CFC (Consumption of Fixed Capital)
5. GNI = GDP + Net primary income from Rest of World (Receipts less payments)
6. Primary Incomes = CE + Property and Entrepreneurial Income
7. NNDI = NNI + other current transfers from ROW, net (Receipts less payments)

8. $GNDI = NNDI + CFC = GNI + \text{other current transfers from ROW, net (Receipts less payments)}$
9. $\text{Gross Capital Formation (financing side)} = \text{Gross Savings} + \text{Net Capital Inflow from ROW}$
10. $GCF (\text{expenditure side}) = GFCF + CIS + \text{Valuables}$
11. $\text{Gross Disposable Income of Govt.} = GFCE + \text{Gross Saving of Central Government}$
12. $\text{Gross Disposable Income (GDI) of Households} = GNDI - \text{GDI of Govt.} - \text{Gross Savings of All Corporations}$

Remarks on the formulae: Production taxes/subsidies relate to production, independent of output volume — e.g. Production Taxes: land revenues, stamps & registration fees, tax on profession; Production Subsidies: subsidies to railways, village/small industries. Product taxes/subsidies are per-unit — e.g. Product Taxes: GST, excise duties, sales tax, service tax, import/export duties; Product Subsidies: food, petroleum, fertilizer subsidies. "Other Current Transfers" = current transfers other than primary incomes. Gross Capital Formation is estimated via two approaches: (i) flow of funds (Gross Saving + net capital flow from RoW), (ii) commodity flow approach (by asset type).

GDP Price Deflator measures how much an economy's real output value is reduced by inflation; accounts for all final goods including exports, but does **not** factor in import prices. Formula: **GDP Price Deflator = (Nominal GDP ÷ Real GDP) × 100.**

Appendix

A.1 — PYQ citation index (bucket "02 National Income", 20 Qs)

Fact tested	Exam · Date · Shift
PDI = Personal Income – Direct Taxes, belongs to households	SSC CHSL Tier-I, 27/11/2025 (Sh-02)
Intermediate good example = copper for utensils (vs final goods)	SSC CHSL Tier-I, 25/11/2025 (Sh-02) [asked twice in this bucket]
Replacement investment = depreciation	SSC CHSL Tier-I, 18/11/2025 (Sh-03)
Depreciation deducted from GVA → NVA	SSC CHSL Tier-I, 18/11/2025 (Sh-01)
Intermediate vs Capital goods (statements)	SSC Phase XIII, 30/07/2025 (Sh-02)
Savings by households = leakage in circular flow	SSC Stenographer, 07/08/2025 (Sh-02)
GNP = income of residents + NFIA (asked twice)	SSC Stenographer, 08/08/2025 (Sh-02)
Services sector contributes most to India's GDP	SSC Stenographer, 07/08/2025 (Sh-03)
GDP = Gross Domestic Product (full form)	SSC Phase XIII, 29/07/2025 (Sh-01)
Personal income vs private/public income (statements)	SSC CHSL Tier-I, 22/11/2025 (Sh-02)
Sum of GVA of all firms = GDP	SSC CHSL Tier-I, 14/11/2025 (Sh-01)
Industry's GDP share in 1950-51 (~12-13%)	SSC CHSL Tier-I, 13/11/2025 (Sh-01)
GNP – NNP = Depreciation	SSC CPO Tier-I, 12/12/2025 (Sh-02)
GDP doesn't reflect welfare (A-R)	SSC CGL Tier-I, 21/09/2025 (Sh-03)
Autonomous investment multiplier (A-R, $MPS < 1$)	SSC CGL Tier-I, 21/09/2025 (Sh-01)
GDP excludes intermediate-goods value (double counting)	SSC CGL Tier-I, 22/09/2025 (Sh-01)
Net Investment = Gross Investment – Depreciation (₹50L–₹5L)	SSC Stenographer, 08/08/2025 (Sh-02)
Factor cost = payment to factors only, no taxes/subsidy	SSC CHSL Tier-I, 26/11/2025 (Sh-02)

Two questions in this bucket (Q19-Q20) duplicate Q2 and Q7's content verbatim — a repetition in the PYQ book itself, cross-referenced rather than re-cited.

A.2 — PYQ-book-only facts

None identified in this bucket — all 20 questions map to Parmar Ch.3 content in the full-coverage sections above.

A.3 — Doubts (carried from the raw extraction, full list)

- GDP base-year: Parmar states 2022-23; Lucent's own tables still use the 2011-12 base series — both transcribed, not reconciled.

- CPI base year: Lucent p.253 says 2012=100; Parmar Ch.3/5 gives 2023-24 or 2024, itself internally inconsistent.
- India's GDP world rank: Lucent (Forbes India, 28 Apr 2025) says 4th; Parmar says 5th nominal/3rd PPP (as of 2026) — both time-sensitive, not independently verified.
- "National Statistics Office (CSO) adopted the GVA in 2015" and "data issued by Central Statistical Organisation (CSO)" — CSO merged into NSO in 2019; as printed, not corrected.
- Simon Kuznets described as "Russian-American" economist — commonly described as Belarus-born/Russian-born American economist.
- Value-added table row labels (output value vs value added) are inferred from the arithmetic, not explicitly labelled in the source.
- "V.K.R.V. Rao...two-sector economy classification" possibly conflates with the separate "Two-Sector Model" (Households+Firms) concept — flagged as a wording ambiguity.
- Personal Income formula as printed is garbled (" $PI = NI + \text{Govt. transfers} + \text{Net interest paid by Govt. Corporate tax-payment for social security}$ ") — standard form is $PI = NI - \text{undistributed profits} - \text{corporate tax} - \text{social-security contributions} + \text{transfer payments}$; transcribed verbatim.
- Discrepancy-row percentage figures in the Lucent tables (0.8/-1.2 etc.) are printed as % change though the table's own note says shares should appear instead — as printed.
- All FY2024-25 figures throughout §1 and §5 are superseded by later (FY26) releases — today's date is well past these releases.